

# Atchíson

The background of the entire page is a photograph of an ice cave. In the upper right, a jellyfish is visible. In the lower left, a person stands on a rocky path, shining a flashlight into the distance. The cave walls are covered in ice and snow, with a bright light source at the end of the path.

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April 2025

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## Monthly Market Update

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Illuminating  
the way forward

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# Key Events in April 2025

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## Trade tensions, strong gold, and resilient local data shaped a turbulent yet upward-trending April 2025.

- The Australian share market recorded its first monthly gain since January returning +3.5% for the month of April and +9.6% for the 12 months. The Australian market followed the lead of the US share market on news of trade deals.
- 10 out of 11 sectors in the S&P/ASX 200 posted gains, led by Communication Services, Information Technology and Listed Property, each rising by 6%. Energy was the only sector to report a loss.
- Most fixed income indices advanced as rates declined on weaker economic growth expectations. The Australian Government 0+ index was among the best performers, rising by +1.6% for the month, with the index's yield falling to 4%.
- Donald Trump's 'Liberation Day' tariff-hit, on April 2, was worse than expected. Based on a non-sensible formula; it compared the US trade deficit against a country with exports to the US, where the bigger the gap the higher the reciprocal tariff.
- Trump placed eye-watering 145% tariff on China but for most other nations a 90-day pause on reciprocal tariffs, leaving a 10% universal tariff in place.
- Global share markets plunged at the beginning of the month due to trade war concerns. The 'Trump Dump' initially caused US shares to fall -17%, -16% globally and -10% in Australia. While gold surged to new highs.
- Australia copped a 10% US tariff on exports, despite only 5% of our exports going to the US. The bigger threat to Australian exports comes from reduced exports to China and Asia.
- In Australia, the RBA left interest rates on hold at 4.10% and remains cautious. Another 0.25% rate cut is anticipated as a result of the next meeting, held on May 20.
- Australia's headline inflation (total inflation) remained steady in Q1 2025 at 2.4% annually, within the target band of 2 – 3%. Most significant price rises over the quarter were Housing (+1.7%), and Education (+5.2%).
- The Australian jobs market remains strong, with an unemployment rate of 4.1%.
- As broadly anticipated, the US Federal Open Market Committee (FOMC) left the Federal Funds Rate unchanged at the range of 4.25 – 4.50%, and projected two rate cuts later this year.
- As expected, The European Central Bank (ECB) deposit rate was cut by 0.25% to 2.25%, noting a threat from rising trade tensions.
- UK inflation came in weaker than expected in March at 2.8% yoy with core inflation falling to 3.4%.
- Gold maintained its winning streak in 2025, reaching historic peak of US\$3,500 per ounce before experiencing volatility. A significant driver behind's gold's stellar performance has been the substantial decline in the US dollar.

# Asset Class Summary

**Table 1: Asset Class Returns – Periods to 30 April 2025**

|                                       | 1 Month<br>% | 3 Months<br>%  | 1 Year<br>% | 3 Years<br>% pa | 5 Years<br>% pa | 10 Years<br>% pa |
|---------------------------------------|--------------|----------------|-------------|-----------------|-----------------|------------------|
| Australian Shares                     | 3.5          | -3.7           | 9.6         | 7.1             | 12.0            | 7.5              |
| Australian Small Companies            | 1.5          | -4.5           | 2.3         | -0.2            | 7.2             | 5.7              |
| International Shares (Unhedged)       | -1.8         | -6.7           | 13.9        | 15.3            | 14.6            | 11.8             |
| International Shares (Hedged)         | -0.1         | -7.2           | 8.1         | 8.7             | 12.5            | 9.1              |
| Emerging Markets (Unhedged)           | -1.0         | -2.0           | 10.0        | 6.5             | 5.4             | 4.2              |
| Australian Property Securities        | 6.8          | 2.8            | 16.8        | 4.6             | 10.9            | 7.6              |
| Global Property Securities (Hedged)   | -0.9         | -0.4           | 10.3        | -3.9            | 4.0             |                  |
| Global Listed Infrastructure (Hedged) | 1.1          | 4.0            | 17.5        |                 |                 |                  |
| Australian Bonds                      | 1.6          | 2.8            | 7.0         | 2.8             | -0.3            | 2.0              |
| Global Bonds (Hedged)                 | 0.6          | 1.9            | 5.7         | 0.6             | -1.2            |                  |
| Cash                                  | 0.4          | 1.1            | 4.6         | 3.8             | 2.3             |                  |
| <b>Change over the month</b>          |              |                |             |                 |                 |                  |
| AUD/USD                               | 2.17%        | US\$<br>0.6416 |             |                 |                 |                  |

Past performance is not a reliable indicator of future performance.

Source: iShares Core S&P/ASX 200 ETF, iShares S&P/ASX Small Ordinaries ETF, Vanguard International Shares Index, Vanguard MSCI Index Intl Shrs (H) ETF, iShares MSCI Emerging Markets ETF, VanEck Australian Property ETF, VanEck FTSE Intl Prop Hdg ETF, iShares Core FTSE Global Infrastructure (AUD Hedged), iShares Core Composite Bond ETF, Vanguard Global Aggregate Bd Hdg ETF, iShares Core Cash ETF

## Australian Markets

The Australian share market rose +3.5% in April, outperforming the US but still down -3.7% over the past three months. Large caps led the way with a +3.9% return, outpacing small caps at +2.4%.

All sectors advanced, except Energy (-7.7%), while top performers included Communication Services (+6.5%), Tech (+6.4%), and Property (+6.3%). Major contributors to index gains were the big banks, Wesfarmers, and Telstra.

Strong individual stock gains came from Lynas (+25%), Challenger (+18%), and Pro Medicus (+15%), while Beach Energy (-18.2%) and South32 (-14.6%) weighed. Gold climbed +3.2% to US\$3,228/oz, up +44.7% year-on-year, but broader commodities fell amid global growth concerns.

The ASX 200 remains expensive, trading at 21x earnings versus a 15.2x long-term average, with some earnings risk yet to be priced in.



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## Global Markets

Global share markets were volatile in April, as the implications of US trade policy impacted stocks, bonds, and currencies. The global share index, excluding Australia, declined by +1.8% unhedged and -0.1% hedged over the month, but posted gains of +13.9% and +8.1% respectively over the past 12 months.

The month started with President Trump's announcement: a set of tariffs that were broader and more punitive than expected. Equity markets sold off just after the announcement and the VIX measure of implied market volatility spiked to 60 – the highest level since the pandemic.

Stocks recovered much of their losses after President Trump softened the approach, announcing a 90-day pause in the implementation of reciprocal tariffs for countries that had not yet adopted retaliatory measures, and the removal of tariffs on a range of electronic products. US / China trade tensions also eased after the US administration softened its tone.

US markets underperformed most of their global peers. The S&P 500 Index underperformed many international counterparts in April, closing at -0.7% but is still up +10.7% for the year. Energy and Healthcare sectors were the most notable laggards in April. Growth stocks outperformed their value counterparts, with the mediocre performance of the energy sector a particular drag on the value index.

On Wednesday, 30 April, UK's index of stocks' benchmark, the FTSE 100, marked its 13th consecutive day of positive returns. The returns served as a reminder that weak economic growth does not necessarily translate into weak stock returns. Close to three-quarters of FTSE 100 revenues come from outside of the UK.

Emerging markets were resilient returning -1.0% in April, supported by solid returns from Mexico and Brazil in particular.

## Bonds

Like equities, bond yields were also volatile over the month. The Australian bonds index rose +1.6% in April as investors sought safety.

10-year bond yields fell in most major markets. Australian 10-year yields fell twenty-two basis points to 4.16%. The value of bonds rise as yields fall.

Expectations for interest rate cuts increased, with future pricing anticipating that the RBA will cut rates by 4-to-5 times by the end of the year to support growth. However, expectations for rate cuts in the US were tempered by the risk of higher prices due to tariffs. The futures market currently expects 3-to-4 cuts in US official rates.

The US 10-year bond yield initially fell sharply to under 4% in response to 'Liberation Day' tariffs before quickly spiking to 4.50%. This due to concerns that the US safe-haven status is under threat from the risk of sustained capital outflows.

Higher yields and signs of market instability resulted in the 90-day 'cooling off' period to allow for trade negotiations.

US headline and core inflation rates for March declined pricing below expectations at 2.4% and 2.8% year over year, respectively. Despite the likelihood of inflation reaccelerating over the next few months, markets are pricing in four US rate cuts by the end of the year.

In the eurozone, the ECB cut rates by 25 basis points, bringing the deposit rate to 2.25%. The monetary policy statement viewed the disinflationary process as "well on track" and noted that the "outlook for growth has deteriorated owing to rising trade tensions." Increasing confidence about the prospect of lower interest rates ahead, provided support for the European government bond markets over the next month.

In the United Kingdom, government bond yields were very volatile over the course of April but ended the month lower. An encouraging decline in March inflation, coupled with weaker activity data, provided a pathway for the next ECB rate cut in May.

Credit spreads fluctuated with risk sentiment in April, selling off sharply on the back of the tariff announcements before later retracing much of the move. Higher quality credit markets continue to demonstrate relative resilience in the face of recession risks. This is likely due to the significant improvements in debt levels that many companies have pursued in recent years.

Australian credit spreads widened as the credit market moved to a risk-off position. The net result was a significant movement in credit spreads across the board.

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## Currencies

The Australian dollar had an extremely volatile month at the hands of US President Donald Trump's tariff announcements but recovered all its early declines against the US dollar to close higher for the second month in a row.

News of the tariff delay helped push the Australian dollar higher again, while the greenback saw a substantial decline. The US dollar index fell to its lowest levels in three years, as confidence in the US was shaken, not only by the trade war, but also President Trump's attacks on Jerome Powell, Chair of the Federal Reserve, raising concerns over the independence of the US central bank. The weaker USD and recovery in the AUD pushed the AUD/USD to its highest level since December, before a late pull-back. The Australian dollar has managed to claw back some of its early losses against the other majors, despite being one of the weakest members of the G10 currency basket over the last month.

The Australian dollar fluctuated between US\$0.5960 and US\$0.6431 on a closing basis – its widest monthly trading range since September 2022 – and averaged US\$0.6297 before finishing the month at US\$0.6416. Over the first ten months of 2024–25, the AUD/USD averaged US\$0.6481, compared to an average of US\$0.6557 in 2023–24.

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# Outlook for Investment Markets

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The uncertainty surrounding the evolution of US trade policy remains high and is likely to continue to feed market volatility ahead. In this environment, regional diversification in equity markets can help to mitigate some of the risks stemming from US policy.

Core government bonds were volatile in April, but we still see high-quality fixed income as an effective hedge against recession risks over a 12-month horizon.

With price pressures still lingering, it is also important to not overlook the role that alternatives can play in protecting against inflation risks.

## 60/40 Portfolio – Dead or Alive?

The 60 stock/40 bond portfolio remains the most popular portfolio because it strikes an agreeable balance between risky assets and safe assets. The theory behind why the 60/40 multi-asset portfolio works is the correlation between stocks and bonds being negative when stocks are experiencing big drawdowns.

Yes, in 2022, the 60/40 portfolio had failed investors, as both stocks and bonds provided negative returns by year end. But the 60/40 bounced back in calendar years 2023 and 2024. Most encouragingly, this year when we have experienced macroeconomic and stock market volatility, bonds have acted like bonds again and provided that defence. Admittedly, 2021 and 2022 fixed income was challenged by rising interest rates. However, given where we are now with interest rates and share market valuations, the expectation that the introduction of significant tariffs in 2025 could have a real impact on inflation. Subsequently, stock and bond prices investors should consider diversifying and tweaking beyond the 60/40 portfolio.

Diversifying between growth and defensive still make sense, especially if you have a long-term time horizon of 10 or more years. However, it's important to consider the new asset and sub-asset classes – such as corporate bonds, emerging market bonds, private equity, and infrastructure – that were not available when the first 60/40 model first emerged. These assets can work to stabilise an overall portfolio and provide improved risk-return profile over the longer-term.

With the recent sell-off in US and Australian equities financial advisers should consider adjusting the 60/40 portfolio to a 60/20/20 (composed of stocks, bonds, and alternative investments). Just like bonds, some alternatives provide monthly cash flows (private credit, real estate, infrastructure), improved diversification, increased stability and a hedge against inflation and interest rate uncertainty.

In summary, the original hypothesis of the 60/40 portfolio remains relevant however market conditions, notably inflation uncertainty, have challenged the diversification benefits of bonds.

Within a multi-asset portfolio, investors can now take a more sophisticated approach to asset allocation augmenting additional uncorrelated assets. For example, Australia's largest superannuation funds and sovereign wealth funds have invested in real assets – including real estate and infrastructure – and have been investing in private equity and credit, for a period.

With the growth of Exchange Traded Funds (ETFs), clients of wealth management groups have similar access that allows investors to diversify their existing 60/40 allocation to growth and defensive to an allocation resembling 60/20/20.

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